

North 1990 RG Notes

North, Douglass C. *Institutions, Institutional Change and Economic Performance*.

Cambridge: Cambridge University Press, 1990.

1 Main Idea

2 General Notes

- Institutions are the rules of the game: “humanly devised constraints that structure political, economic, and social interactions.” Organizations are the players of the game
- Institutions exist to reduce transaction costs and facilitate a more efficient market solution
- Biggest non-obvious contribution is the commitment issue: the state must gain power while committing to those who give it power that it will not use that power for abuse or extraction. Economic growth happens precisely when institutions (a) minimize transaction costs and (b) maximize property rights and constrain the sovereign
- Institutions are path-dependent, as they facilitate increasing returns (i.e., are more effective as time goes on) – status quo reinforcement
- Most critical metric is an institutional environment’s ability to adapt to new settings and experiment with various adaptations
- Institutions are sometimes changed by those who stand to personally improve with respect to that change – institutional opportunism

3 Important Specific Factual Claims

- Turn towards institutionalism as a framework of theory and methodology

4 Connections

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5 My Critiques

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